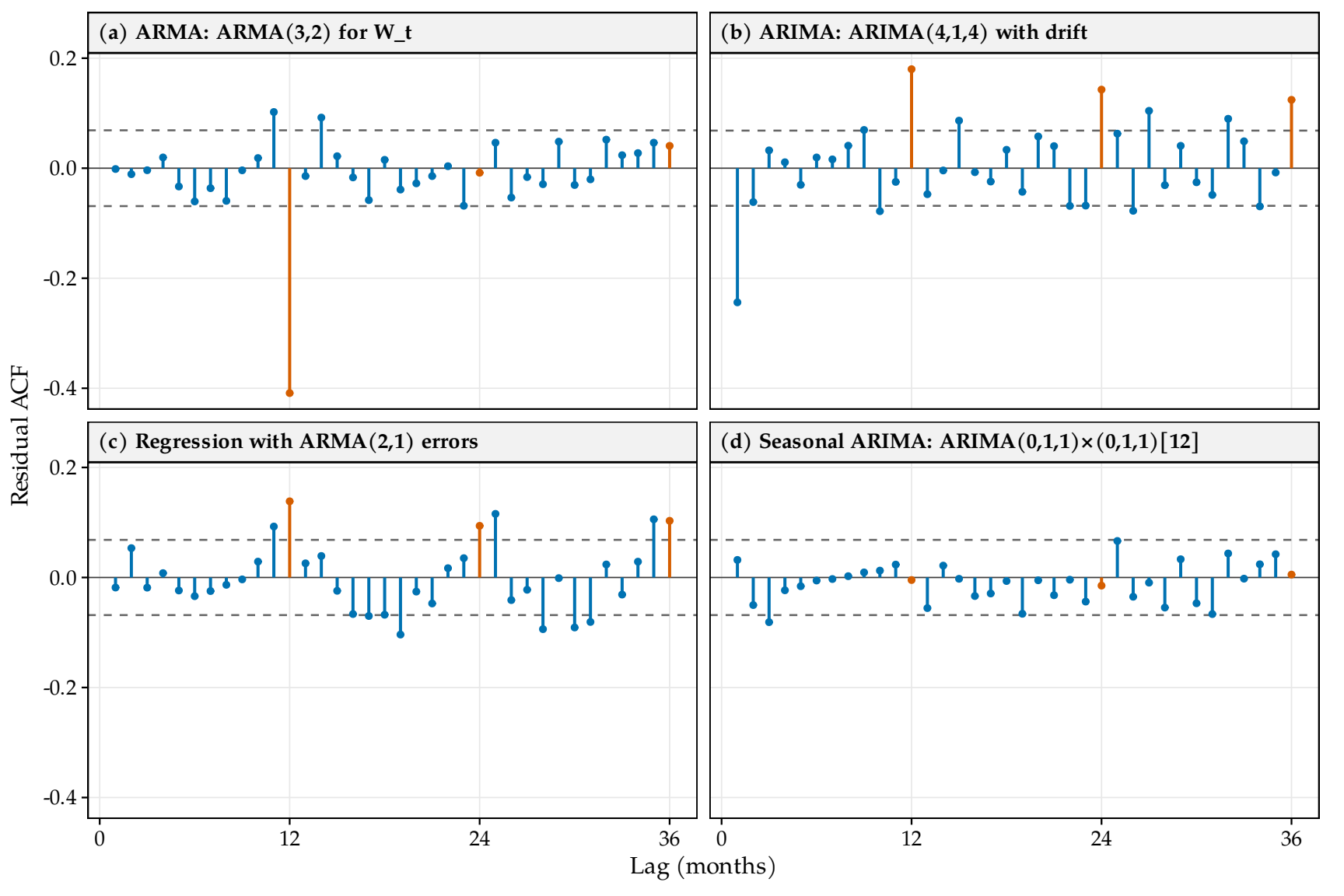
(a) ARMA: ARMA(3,2) for W_t
(b) ARIMA: ARIMA(4,1,4) with drift
(c) Regression with ARMA(2,1) errors
(d) Seasonal ARIMA: ARIMA(0,1,1)×(0,1,1)[12]
Residual ACF
0.2
0.0
-0.2
-0.4
0
12
24
36
Lag (months)